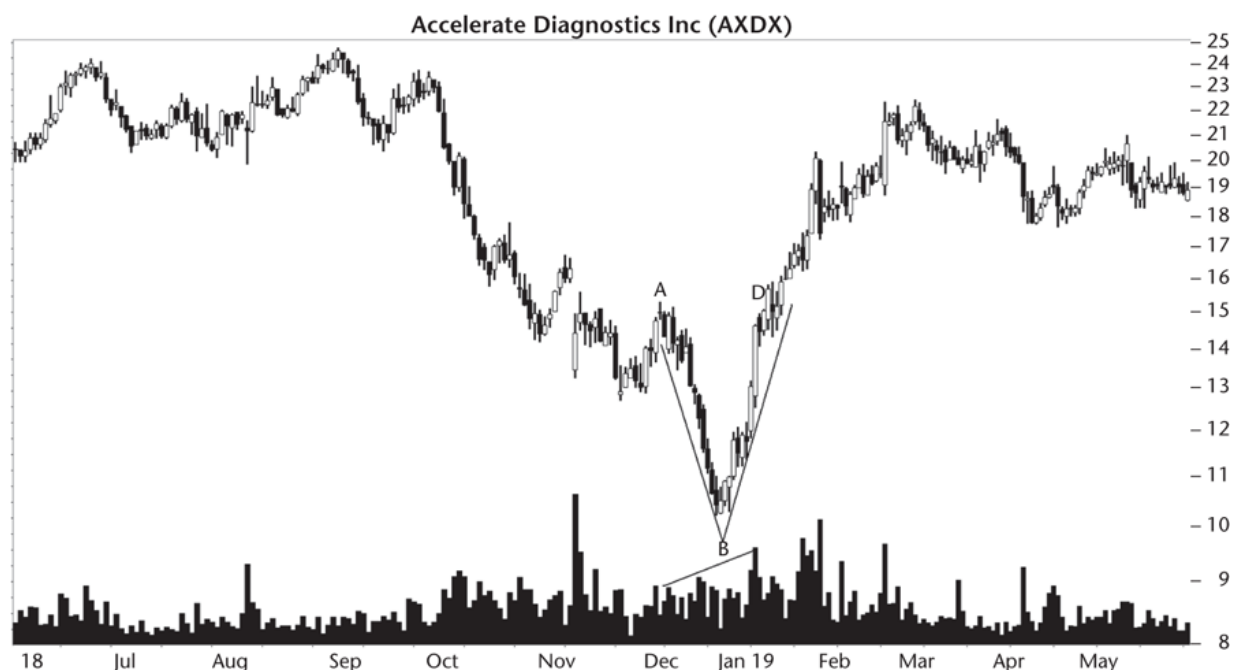




[Figure 69.1](#) This is a good example of a V-bottom that sees price climb.

Identification Guidelines

[Table 69.1](#) shows identification guidelines for the V-bottom pattern, and [Figure 69.2](#) shows two of them, the first is at ABC and the second is at DEF.

Appearance. The chart pattern looks like the letter V. The stock makes an unusually steep drop and turns on a dime to zip back up. If price can't retrace at least 38.2% of the drop from the left-side high to the bottom of the pattern, then it's not a V-bottom. That's an arbitrary number, but it's one I used to find these patterns. Price has to rise far enough that it suggests price will continue rising, and yet still be low enough to make buying the stock attractive.

Plunge. Price makes an unusually steep and quick drop on the left side of the V that must be at least 15%. The average is 30%, so that's the kind of drop we're looking for. The drop should be a straight-line run down (a little bend is fine) with few pauses along the way.